

The Wages Group - The Foundation Track

Chapter F2.5 — From Zero: Minimum Wages, Payment of Wages, Bonus, Equal Remuneration, and the Code on Wages

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NOTE · HOW TO USE THIS DOCUMENT

Four Acts in one chapter, because the Code on Wages 2019 merged them: the Minimum Wages Act 1948 (how much must be paid), the Payment of Wages Act 1936 (when, how, and what may be deducted), the Payment of Bonus Act 1965 (a share of surplus) and the Equal Remuneration Act 1976 (no gender discrimination in pay). The 2023 paper took at least two questions from this territory.

Three things here are near-certain examination material: the bonus band of 8.33 to 20 per cent with its two separate ceilings, the deduction limits of 50 and 75 per cent, and the FLOOR WAGE - the genuinely new concept the Code introduced, which for the first time puts a national floor beneath every State's minimum wage. Everything in this chapter is computed on wages as defined in Chapter F2.1, so the 50 per cent rule applies throughout. Study time 6 hours across five sessions.

This is the FOUNDATION layer. Old-Act and Code provisions are given as pairs. Monetary ceilings are those in force as at August 2026 and are revised by notification - items marked CONFIRM must be re-checked before the RT.

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0. Four Acts, One Question

These four statutes answer four different questions about the same rupee. Keep the questions apart and the chapter organises itself.

START FROM ZERO · THE FOUR QUESTIONS - AND WHICH ACT ANSWERS EACH

- 1 **HOW MUCH** must be paid at minimum? - the **Minimum Wages Act, 1948**
- 2 **WHEN**, in what form, and with what deductions? - the **Payment of Wages Act, 1936**
- 3 **What SHARE** of the surplus does the worker get? - the **Payment of Bonus Act, 1965**
- 4 **Must a woman be paid the same as a man for the same work?** - the **Equal Remuneration Act, 1976**

All four are now the **Code on Wages, 2019** - the **first** of the four Codes, and the one covering the **fewest Acts, four**. Recall the 4-3-9-13 sequence from Chapter F2.1.

And note the chronology, which is itself asked: the Payment of Wages Act is the **oldest at 1936** - Parliament regulated **when** wages were paid twelve years before it regulated **how much** they had to be. That order tells you something real: unauthorised deductions and delayed payment were the more visible abuses.

STUDY SESSION · CHAPTER F2.5 - THE FIVE SESSIONS

- 1 **Session 1** - Minimum Wages: how a minimum wage is fixed, the components, and the norms (Section 1)
- 2 **Session 2 - The floor wage** and the Code's universal coverage - the biggest change (Section 2)
- 3 **Session 3** - Payment of Wages: timing, mode, and **the deduction limits** (Section 3)
- 4 **Session 4 - Bonus: the 8.33 to 20 per cent band and the two ceilings** (Section 4)
- 5 **Session 5** - Equal Remuneration, and the Code's consolidated machinery (Section 5)

Then **45 graded questions**. Budget **six sessions**, about **three days**.

1. Session 1 - The Minimum Wages Act, 1948



1.1 What a minimum wage is, and the three-tier idea

Before the mechanics, learn the conceptual ladder, because it is examined and because it explains why the numbers are what they are.

Tier	What it means
Minimum wage	Must be paid irrespective of the employer's capacity to pay . It provides bare subsistence plus preservation of the worker's efficiency - some provision for education, medical needs and amenities. An employer who cannot pay it has no right to run the business
Fair wage	Above the minimum, below the living wage. Fixed by reference to the employer's capacity to pay , the prevailing rates in the industry, productivity, and the national income
Living wage	The highest tier - not merely bare needs and efficiency, but a frugal comfort : provision for education of children, protection against ill-health, essential social needs and insurance against misfortune. It is the goal set by Article 43 , to be reached as the economy allows

The three tiers of wage - a distinction from the case law, and a favourite question

MUST MASTER · THE 1957 NORMS - AND THE CASE THAT ADDED A FIFTH

The **Fifteenth Indian Labour Conference, 1957** laid down the norms for a **need-based minimum wage**. These are asked directly:

- 1 **Three consumption units** per earner - the earner, plus his family, with the woman's and children's needs counted at reduced weight. The earnings of women, children and adolescents are **disregarded**
- 2 **2,700 calories** per adult per day
- 3 **72 yards** of cloth per family per year
- 4 **Rent** corresponding to the minimum area provided under Government industrial housing schemes
- 5 **Fuel, lighting and other miscellaneous items** to constitute **20 per cent** of the total minimum wage

Then in **Workmen v Reptakos Brett and Co. (1992)** the Supreme Court added a **sixth** component: **children's education, medical requirements, minimum recreation including festivals and ceremonies, and provision for old age and marriage** - to constitute a further **25 per cent** of the total minimum wage.

Learn it as five 1957 norms plus the 1992 addition. The two percentages are the most examinable parts: **20 per cent** for fuel and miscellaneous from 1957, and **25 per cent** for education, medical, recreation and old age from 1992.

1.2 How a minimum wage is fixed - two methods

The **appropriate Government** fixes minimum wages for employments listed in the **Schedule** to the Act - the so-called **scheduled employments**. Two methods are available:

- 1 **The Committee method** - the Government appoints **committees and sub-committees** to hold enquiries and advise it
- 2 **The Notification method** - the Government publishes its **proposals** in the Official Gazette, inviting representations, and specifies a date not less than **two months** ahead on which the proposals will be taken into consideration

In either case the Government must **consult** the **Advisory Board** where required, and must **review** the rates at intervals **not exceeding five years**.

KNOW · WHAT A MINIMUM WAGE MAY CONSIST OF, AND THE FOUR RATES

Components - a minimum wage may be fixed as:

- 1 A **basic rate** of wages plus a **cost of living allowance** (the variable dearness allowance, revised periodically against the consumer price index), or
- 2 A basic rate **with or without** the cost of living allowance and the **cash value of concessions** in respect of supplies of essential commodities, or
- 3 An **all-inclusive rate** allowing for the basic rate, the cost of living allowance and the cash value of concessions

Rates - minimum wages may be fixed as a **minimum time rate**, a **minimum piece rate**, a **guaranteed time rate** (for a piece-rate worker who is given time work), or an **overtime rate**.

And they may be fixed by the hour, the day, the month, or such other larger wage period as may be prescribed - and **for different classes of work, different localities, and adults, adolescents, children and apprentices**.

1.3 Hours, overtime and rest

- 1 A **normal working day** for an adult is **nine hours**, inclusive of an interval for rest, and the working week is **forty-eight hours**
- 2 One **day of rest** every week, ordinarily Sunday, with remuneration - and a worker may be required to work on the rest day provided he gets a substituted rest day within the specified period
- 3 **Overtime** - where a worker works beyond the normal working day, he is entitled to overtime at **not less than twice** the ordinary rate of wages. The **2026 Central Rules** confirm overtime at **twice** the normal rate and cap overtime at **144 hours per quarter**

WORKED EXAMPLE · THE 2026 RULES ARITHMETIC - CONVERTING A MONTHLY MINIMUM WAGE

The **2026 Central Rules** give the conversion factors, and they are simple but examinable:

- 1 **Hourly rate** = the daily minimum wage **divided by 8**
- 2 **Monthly rate** = the daily minimum wage **multiplied by 26** - twenty-six, not thirty, because four weekly rest days are excluded

Worked. Suppose the daily minimum wage for a category is **Rs 600**.

- 1 **Hourly** = $600 / 8 = \text{Rs } 75$
- 2 **Monthly** = $600 \times 26 = \text{Rs } 15,600$
- 3 **Overtime** for one hour = $2 \times 75 = \text{Rs } 150$

The trap: multiplying by 30 instead of 26. Remember **26 working days in a month**, because the seventh day is a paid rest day, not a working day.

1.4 Claims

A claim for payment of less than the minimum wage lies before the **Authority** appointed under the Act. The Authority may direct payment of the **difference**, together with **compensation** which may extend to **ten times** the excess.

CHECK YOURSELF · SESSION 1

- 1 Distinguish minimum, fair and living wage. Which is payable irrespective of capacity to pay? Which is the Article 43 goal?
- 2 Give the five norms of the 15th Indian Labour Conference, 1957, with the percentage
- 3 What did *Reptakos Brett* (1992) add, and at what percentage?
- 4 Name the two methods of fixing minimum wages, and the review interval
- 5 Name the four kinds of rate at which minimum wages may be fixed
- 6 Give the normal working day and week, the overtime multiple, and the quarterly overtime cap
- 7 Convert a daily minimum wage of Rs 520 into an hourly and a monthly rate

2. Session 2 - The Floor Wage and Universal Coverage ★★★★★

This is the most important new concept in the chapter, and the one most likely to be examined, because it is genuinely new law.

2.1 The problem with the 1948 scheme

Two structural defects had persisted for seventy years:

- 1 **Coverage was limited to SCHEDULED employments.** If your occupation was not listed in the Schedule for your State, you had **no** statutory minimum wage at all. Very large numbers of workers - particularly in the unorganised sector - fell outside
- 2 **There was no national floor.** Each State fixed its own rates, and the variation between States was very wide. A State competing for investment had an incentive to keep rates low, and there was no legal limit on how low

MUST MASTER · THE TWO CHANGES THE CODE ON WAGES MADE - LEARN BOTH

Change 1 - UNIVERSAL COVERAGE. The **Code on Wages, 2019** applies to **all employments**, organised and unorganised alike. The concept of **scheduled employments is abolished**. Every worker in India is now entitled to a statutory minimum wage.

Change 2 - THE FLOOR WAGE. The **Central Government** fixes a **floor wage**, taking into account the **minimum living standards** of a worker, and it **may fix different floor wages for different geographical areas**.

The crucial rule: **no State may fix a minimum wage LOWER than the floor wage**. A State's existing minimum wage that is already higher than the floor **cannot be reduced**.

Before fixing the floor wage, the Central Government **may obtain the advice of the Central Advisory Board** and **consult the State Governments**.

Learn the relationship in one line: the Central Government sets the FLOOR; States set the MINIMUM WAGE at or above it. Two different things, two different authorities - and the commonest error is to say the Centre fixes the minimum wage, which it does not, except for employments where it is itself the appropriate Government.

WHY THIS EXISTS · WHY A FLOOR WAGE WAS NEEDED - THE CONCURRENT LIST PROBLEM AGAIN

You already know the reason from Chapter F1.1. **Labour is on the Concurrent List**, so both the Centre and the States legislate and both fix rates. That produces genuine federal diversity - which is proper, because the cost of living really does differ between Kerala and Bihar.

But diversity without a floor produces a **race to the bottom**: States competing for industry by holding wages down. The floor wage resolves the tension in the standard federal way - **a national minimum below which no State may go, with States free to go above it**. Diversity is preserved upward, not downward.

This is the same design you will meet again in Module 3, where the **EPF contribution rate and wage ceiling are set centrally** while administration runs through regional offices. Learn the pattern once: **uniform floor, local variation upward**.

2.2 The advisory machinery

- 1 A **Central Advisory Board** and **State Advisory Boards** advise on fixation and revision of minimum wages and on increasing employment opportunities for women
- 2 Each Board consists of representatives of **employers**, representatives of **employees** in **equal number**, and **independent persons** not exceeding one-third of the total members. **One-third of the total members shall be women**
- 3 The **independent persons** include the Chairperson

MEMORY TECHNIQUE · THE BOARD COMPOSITION - THREE NUMBERS

Employers and employees in EQUAL number · independent persons not exceeding ONE-THIRD · women not less than ONE-THIRD of the total.

Notice the resemblance to the ILO's tripartism from Chapter F2.1 - employers, workers and a neutral element - but with the addition of a **statutory gender requirement**, which is new and therefore examinable.

CHECK YOURSELF · SESSION 2

- 1 Name the two structural defects of the 1948 scheme
- 2 What has happened to the concept of scheduled employments?
- 3 Who fixes the floor wage, and on what basis? May it vary geographically?
- 4 May a State fix a minimum wage below the floor wage? May it reduce an existing higher rate?
- 5 State the relationship between floor wage and minimum wage in one line
- 6 Give the three composition rules for an Advisory Board

3. Session 3 - The Payment of Wages Act, 1936



This Act is not about how much. It is about when, in what form, and what may be taken out. The deduction limits are its most examined feature.

3.1 Wage period and time of payment

- 1 The **wage period** may not exceed **one month**. Under the Code, wage periods may be **daily, weekly, fortnightly or monthly**
- 2 **Time of payment** - where the establishment employs **fewer than one thousand** persons, wages must be paid before the expiry of the **seventh day** after the last day of the wage period; where it employs **one thousand or more**, before the expiry of the **tenth day**
- 3 Where employment is **terminated**, wages must be paid within **two working days** of the termination
- 4 **All payments must be made on a working day**

MEMORY TECHNIQUE · SEVEN, TEN, TWO

Under 1,000 employees - the 7th day. 1,000 or more - the 10th day. On termination - within 2 working days.

The logic: a larger payroll takes longer to compute, so the law allows three extra days. And on termination the worker has no further income, so the period is compressed to two working days. **The size of the establishment and the urgency of the worker's need together explain all three numbers.**

3.2 Mode of payment

Under the **Code on Wages**, wages may be paid in **coin, currency notes, by cheque, by crediting to the bank account** of the employee, or by **electronic mode**. The appropriate Government may specify establishments in which wages must be paid **only** by bank credit or electronic mode.

FROM YOUR OWN WORLD · WHY THE SHIFT TO BANK CREDIT MATTERS MORE THAN IT LOOKS - AND IT IS YOUR SUBJECT

As a banker you have seen the consequence of this from the other side. Compulsory electronic wage payment produces a **verifiable record** of what was actually paid.

That record is the single most useful piece of evidence in a **Section 7A** inquiry. An employer who claims wages were Rs 12,000 when bank credits show Rs 30,000 has a problem he cannot argue his way out of. Cash payment made under-reporting easy; bank credit makes it nearly impossible.

So the move to electronic wages is not merely administrative convenience - it is an **enforcement mechanism** for every wage-linked liability, including provident fund. Your banking background is a genuine professional advantage here, and it is worth saying so at interview.

3.3 Deductions - the heart of the Act

No deduction may be made except those authorised by the Act. The permitted deductions include:

- **Fines**
- Deduction for **absence from duty**

- Deduction for **damage to or loss of goods** expressly entrusted to the employee, or for loss of money for which he is required to account, where the loss is directly attributable to his **neglect or default**
- Deduction for **house accommodation** supplied by the employer
- Deduction for **amenities and services** supplied by the employer
- Deduction for **recovery of advances** or adjustment of over-payments
- Deduction of **income tax**
- Deduction required by **order of a court** or other competent authority
- Deduction for subscription to and repayment of advances from any **provident fund**
- Deduction for payments to **co-operative societies** or to an approved **insurance scheme**
- Deduction with written authorisation for **contribution to any fund constituted by the employer or a trade union** for the welfare of employees
- Deduction for **recovery of losses** sustained by a railway administration
- Deduction of **trade union subscription** with written authorisation

MUST MASTER · THE TWO DEDUCTION CEILINGS - 50 AND 75 PER CENT

The **total** amount of deductions from the wages of an employee in any wage period may **not exceed**:

- 1 **Fifty per cent** of the wages, ordinarily
- 2 **Seventy-five per cent** where the deductions include payments to **co-operative societies**

Learn it as 50 normally, 75 where a co-operative society is involved.

Why the higher limit for co-operatives? Because a deduction repaying a co-operative society loan is, in substance, the worker servicing his **own** borrowing on favourable terms, and blocking it would push him toward moneylenders. The law therefore allows a deeper deduction for that specific purpose.

And where the total deduction would exceed the ceiling, the excess is **carried forward** and recovered in the manner prescribed - it is not extinguished, merely deferred.

MUST MASTER · FINES - FOUR SEPARATE RESTRICTIONS

Fines attract their own limits, and each has been examined:

- 1 A fine may be imposed only in respect of **acts and omissions specified in a list approved** by the appropriate Government and **displayed** on the premises
- 2 The total fine in any one wage period may not exceed **three per cent** of the wages payable in that period
- 3 No fine may be imposed on an employee **under the age of fifteen**
- 4 No fine may be recovered after **sixty days** from the day the act or omission occurred, and no fine may be imposed until the employee has been given an **opportunity of showing cause**
- 5 All fines and realisations must be recorded in a **register** and applied only to purposes **beneficial to the employees**

The four numbers: 3 per cent, age 15, 60 days, and an approved displayed list. Note the last point too - fine money does not belong to the employer; it must be spent for the employees' benefit.

3.4 Responsibility and claims

- 1 The **employer** is responsible for the payment of all wages required to be paid. In a factory, the **manager**; in an industrial establishment, the person responsible to the employer for supervision and control
- 2 Claims arising out of deductions or delay lie to the **Authority** appointed under the Act, which may order payment of the deducted or delayed wages **together with compensation**
- 3 Under the **Code on Wages**, the limitation for filing a claim was substantially extended to **three years** - a significant improvement on the previous short periods

CHECK YOURSELF · SESSION 3

- 1 Give the maximum wage period, and the three payment timing rules
- 2 Name five permitted modes of payment. Why does electronic payment matter to a Provident Fund officer?
- 3 Name eight permitted deductions
- 4 Give the two deduction ceilings and explain why the higher one exists
- 5 Give the four restrictions on fines. To what use must fine money be put?
- 6 What is the limitation period for a claim under the Code on Wages?

4. Session 4 - The Payment of Bonus Act, 1965



The most arithmetic-heavy statute in this chapter, and the one where candidates most often confuse two different ceilings.

4.1 Applicability and eligibility

Test	The rule
Applicability to the establishment	Every factory , and every other establishment in which twenty or more persons are employed on any day during an accounting year
Eligibility of the employee	An employee drawing a salary or wage not exceeding Rs 21,000 per month , who has worked in the establishment for not less than thirty working days in that accounting year
Disqualification	An employee dismissed for fraud, riotous or violent behaviour while on the premises, or theft, misappropriation or sabotage of any property of the establishment

Bonus - applicability and eligibility are different tests

4.2 The band, and the two ceilings

MUST MASTER · 8.33 TO 20 PER CENT - AND THE TWO CEILINGS THAT ARE CONSTANTLY CONFUSED

The band:

1 **Minimum bonus - 8.33 per cent** of the salary or wage earned during the accounting year, **or Rs 100, whichever is higher**. For an employee **below fifteen years** of age at the beginning of the accounting year, the floor is **Rs 60** instead of Rs 100

2 **Maximum bonus - 20 per cent** of the salary or wage, where the allocable surplus permits

Why 8.33 per cent? Because it is **one twelfth**, that is **one month's wages** in a year. That is the easiest way to remember it, and it explains why bonus is popularly called an annual month's pay.

Now the two ceilings, which do different jobs:

1 **The ELIGIBILITY ceiling - Rs 21,000 per month**. This decides **whether the employee is covered at all**. Above it, no bonus under the Act

2 **The CALCULATION ceiling - Rs 7,000 per month, or the minimum wage for the scheduled employment, whichever is HIGHER**. This decides **the figure on which the percentage is computed** for an employee whose actual wage exceeds it

The commonest error in the exam is to compute bonus on the actual salary of an employee earning between Rs 7,000 and Rs 21,000. You must compute on the **calculation ceiling**, not the actual wage.

Minimum bonus is payable even if the employer makes NO profit or suffers a loss. That is the point of a statutory minimum - it is a deferred wage, not a share of profit. Only the amount **above 8.33 per cent** depends on the allocable surplus.

WORKED EXAMPLE · BONUS COMPUTED THREE TIMES - COVERING ALL THREE CASES

Case 1 - wage below the calculation ceiling. An employee earns **Rs 6,000** per month, and worked the full year. Actual wage is **below** Rs 7,000, so the actual wage is used.

- 1 Annual wage = $6,000 \times 12 = \text{Rs } 72,000$
- 2 Minimum bonus = 8.33 per cent of 72,000 = **Rs 5,998** (approximately)
- 3 Maximum bonus = 20 per cent of 72,000 = **Rs 14,400**

Case 2 - wage between the two ceilings. An employee earns **Rs 18,000** per month. He is **eligible**, because 18,000 is below the Rs 21,000 eligibility ceiling. But bonus is computed on the **calculation ceiling of Rs 7,000** (assuming the minimum wage for that employment is not higher).

- 1 Deemed annual wage = $7,000 \times 12 = \text{Rs } 84,000$
- 2 Minimum bonus = 8.33 per cent of 84,000 = **Rs 6,997** (approximately)
- 3 Maximum bonus = 20 per cent of 84,000 = **Rs 16,800**

Note the result: the employee on Rs 18,000 gets bonus calculated as though he earned Rs 7,000.

This is the case the exam sets, because a candidate who uses Rs 18,000 produces a figure more than twice too large.

Case 3 - wage above the eligibility ceiling. An employee earns **Rs 25,000** per month. He is **above Rs 21,000**, so he is **not eligible** for statutory bonus at all. Any bonus paid is contractual or ex gratia, not under the Act.

The decision sequence to apply every time: first ask **is he eligible** - compare with **Rs 21,000**. If yes, then ask **on what figure do I compute** - the **lower** of his actual wage and the **calculation ceiling**. Then apply **8.33 per cent** as a floor and **20 per cent** as a cap.

4.3 Allocable surplus, set on and set off

- 1 The **available surplus** is computed from the gross profits after specified prior charges - depreciation, development rebate, direct taxes and a return on capital
- 2 The **allocable surplus** is **sixty-seven per cent** of the available surplus in the case of a **company** other than a banking company which has not made the prescribed arrangements for declaration of dividends, and **sixty per cent** in other cases
- 3 Where the allocable surplus **exceeds** the maximum bonus payable, the **excess** is carried forward - this is **set on** - up to a limit, to be used in succeeding years
- 4 Where the allocable surplus **falls short** of the minimum bonus, the deficiency is carried forward - this is **set off**
- 5 Set on and set off may be carried forward for up to **four** succeeding accounting years

4.4 Time of payment, and infancy protection

- 1 Bonus must be paid within **eight months** from the close of the accounting year, extendable by the appropriate Government up to a total of **two years**
- 2 **New establishments** enjoy **infancy protection**: bonus is payable only from the accounting year in which the employer **derives profit** from the establishment, or from the **sixth** accounting year, whichever is earlier - so broadly the first **five** years are protected

MEMORY TECHNIQUE · THE BONUS NUMBERS IN ONE LINE

20 employees to apply · Rs 21,000 to be eligible · 30 working days to qualify · Rs 7,000 or the minimum wage to compute · 8.33 per cent minimum · 20 per cent maximum · 8 months to pay · 5 years' infancy · 4 years' set on and set off · 67 or 60 per cent allocable surplus.

CHECK YOURSELF · SESSION 4

- 1 Give the applicability threshold, the eligibility ceiling and the minimum working days
- 2 Name the three grounds of disqualification
- 3 State the minimum and maximum bonus, and the two floors in rupees
- 4 Explain the difference between the eligibility ceiling and the calculation ceiling
- 5 Compute minimum and maximum bonus for an employee earning Rs 15,000 per month for a full year
- 6 Is minimum bonus payable in a loss-making year? Why?
- 7 Define set on and set off, and give the carry-forward period
- 8 Give the time limit for payment and the infancy protection rule

5. Session 5 - Equal Remuneration and the Consolidated Machinery ★★★★★☆

5.1 The Equal Remuneration Act, 1976

- 1 It gives effect to **Article 39(d)** - equal pay for equal work for both men and women - and to **ILO Convention 100**, which India **has** ratified
- 2 The employer must pay **equal remuneration** to men and women workers for the **same work or work of a similar nature**
- 3 "**Work of a similar nature**" means work in respect of which the **skill, effort and responsibility** required are the same, when performed under similar working conditions, and any difference is **not of practical importance**
- 4 **No discrimination** while **recruiting** men and women workers, nor in conditions of service such as promotions, training or transfer - **except** where the employment of women in such work is **prohibited or restricted** by law
- 5 An employer may **not reduce** the wages of any worker in order to comply with the Act - so equalisation must be **upward**

MUST MASTER · HOW THE CODE ON WAGES CHANGED THIS - FROM WOMEN TO GENDER

The **Code on Wages, 2019** carries the principle forward but **widens** it: the prohibition is on discrimination **on the ground of gender** in matters relating to **wages** and to **recruitment** for the same work or work of a similar nature.

Two consequences worth knowing:

- 1 The protection is no longer framed as a **women's** protection but as a **gender-neutral** one
- 2 Recall from Chapter F2.1 the special rule that for **equal-pay purposes**, "wages" **includes house rent allowance and conveyance allowance** - the ordinary exclusions do **not** apply. Otherwise an employer could equalise basic pay and discriminate through allowances. That carve-out exists precisely to close that gap

5.2 The Code's consolidated machinery

Feature	Position under the Code on Wages, 2019
Coverage	All employments , organised and unorganised. Scheduled employments abolished
Definition of wages	The single uniform definition with the 50 per cent rule - Chapter F2.1
Floor wage	Fixed by the Central Government ; States may not go below it
Review	Minimum wages reviewed at intervals not exceeding five years
Enforcement officer	Inspector-cum-Facilitator , with a web-based randomised inspection scheme
Claims	Limitation extended to three years
Payment modes	Coin, currency, cheque, bank credit or electronic
Advisory Boards	Central and State, employers and employees equal , independents up to one-third , women one-third of total
Records	A single register in place of the multiple registers required under the four repealed Acts

WHY THIS EXISTS · WHY CONSOLIDATION WAS WORTH DOING - THE COMPLIANCE-BURDEN ARGUMENT

An employer covered by all four repealed Acts had to maintain **separate registers**, file **separate returns**, face **separate inspections**, and apply **four different definitions of wages** to the same payslip.

The Code's answer is **one definition, one register, one return, one inspection regime, one authority**. That is a genuine reduction in compliance cost, and it is the strongest argument in the Codes' favour.

The honest counter-argument, which a good candidate should be able to state: simplification also **reduces the number of separately enforceable obligations**, and web-based randomised inspection means fewer physical visits. Whether compliance improves depends entirely on whether the digital enforcement machinery works as intended. That is a fair thing to say at interview, and saying it shows judgement rather than recitation.

CHECK YOURSELF · SESSION 5

- 1 Which Directive Principle and which ILO Convention does the Equal Remuneration Act implement?
- 2 Define "work of a similar nature"
- 3 May an employer reduce a man's wages to achieve equality? What follows?
- 4 How did the Code widen the equal-pay principle?
- 5 Which two allowances are included in "wages" for equal-pay purposes, and why?
- 6 Name six features of the Code's consolidated machinery
- 7 Give one argument for and one against consolidation

6. Graded Practice - 45 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. The Code on Wages, 2019 subsumes how many Acts?

(a) Three (b) Four (c) Nine (d) Thirteen

Q. 2. The oldest of the four wage statutes is the

(a) Minimum Wages Act, 1948 (b) Payment of Wages Act, 1936 (c) Payment of Bonus Act, 1965 (d) Equal Remuneration Act, 1976

Q. 3. Under the 15th Indian Labour Conference norms, the calorie requirement per adult per day is

(a) 2,100 (b) 2,400 (c) 2,700 (d) 3,000

Q. 4. The number of consumption units per earner under the 1957 norms is

(a) two (b) three (c) four (d) five

Q. 5. Cloth requirement under the 1957 norms is

(a) 18 yards per person per year (b) 72 yards per family per year (c) 36 yards per family per year (d) 100 yards per family per year

Q. 6. Fuel, lighting and other miscellaneous items were to constitute

(a) 10 per cent of the minimum wage (b) 20 per cent of the minimum wage (c) 25 per cent of the minimum wage (d) 30 per cent of the minimum wage

Q. 7. Minimum wages must be reviewed at intervals not exceeding

(a) two years (b) three years (c) five years (d) ten years

Q. 8. The normal working day under the Minimum Wages Act is

(a) eight hours (b) nine hours inclusive of rest interval (c) ten hours (d) twelve hours

Q. 9. Overtime is payable at not less than

(a) one and a half times the ordinary rate (b) twice the ordinary rate (c) two and a half times the ordinary rate (d) three times the ordinary rate

Q. 10. The floor wage under the Code on Wages is fixed by

(a) each State Government (b) the Central Government (c) the Central Advisory Board (d) the Inspector-cum-Facilitator

Q. 11. Where an establishment employs fewer than 1,000 persons, wages must be paid before the expiry of the

(a) 5th day after the wage period (b) 7th day after the wage period (c) 10th day after the wage period (d) last day of the month

Q. 12. On termination of employment, wages must be paid within

(a) the same day (b) two working days (c) seven days (d) one month

Q. 13. The total deductions from wages in a wage period may ordinarily not exceed

(a) 25 per cent (b) 50 per cent (c) 60 per cent (d) 75 per cent

Q. 14. Where deductions include payments to co-operative societies, the ceiling is

- (a) 50 per cent (b) 60 per cent (c) 75 per cent (d) 90 per cent

Q. 15. The total fine in any one wage period may not exceed

- (a) 1 per cent of wages (b) 3 per cent of wages (c) 5 per cent of wages (d) 10 per cent of wages

Q. 16. The Payment of Bonus Act applies to establishments employing

- (a) 10 or more persons (b) 20 or more persons (c) 50 or more persons (d) 100 or more persons

Q. 17. The minimum bonus is

- (a) 4 per cent (b) 8.33 per cent (c) 10 per cent (d) 20 per cent

Q. 18. The maximum bonus is

- (a) 8.33 per cent (b) 12 per cent (c) 20 per cent (d) 25 per cent

Q. 19. Bonus must be paid within

- (a) three months of the close of the accounting year (b) six months (c) eight months (d) one year

Q. 20. The Equal Remuneration Act, 1976 gives effect to which Directive Principle?

- (a) Article 39(a) (b) Article 39(d) (c) Article 41 (d) Article 43

6.2 Level 2 - Understanding

Q. 21. A wage payable irrespective of the employer's capacity to pay is the

- (a) fair wage (b) living wage (c) minimum wage (d) floor wage

Q. 22. The wage described by Article 43 as the goal is the

- (a) minimum wage (b) fair wage (c) living wage (d) floor wage

Q. 23. *Workmen v Reptakos Brett (1992)* added a component representing

- (a) 10 per cent for housing (b) 20 per cent for fuel and lighting (c) 25 per cent for children's education, medical needs, recreation and old age (d) 30 per cent for transport

Q. 24. Which one of the following is not a method of fixing minimum wages?

- (a) Committee method (b) Notification method (c) Adjudication by an Industrial Tribunal (d) Both the committee and notification methods are available

Q. 25. The daily minimum wage for a category is Rs 480. Under the 2026 Rules, the monthly rate is

- (a) Rs 12,480 (b) Rs 13,440 (c) Rs 14,400 (d) Rs 12,000

Q. 26. Under the 2026 Rules, the hourly rate is obtained by dividing the daily minimum wage by

- (a) 6 (b) 8 (c) 9 (d) 12

Q. 27. Under the Code on Wages, the concept of scheduled employments has been

- (a) retained without change (b) abolished, coverage now being universal (c) extended to three new schedules (d) confined to the unorganised sector

Q. 28. A State fixes a minimum wage lower than the floor wage. The State's rate is

- (a) valid, labour being a Concurrent subject (b) invalid, since no State may fix a minimum wage below the floor wage (c) valid for the unorganised sector only (d) valid until the Centre objects

Q. 29. On an Advisory Board under the Code on Wages, women must constitute

(a) one-fourth of the total members (b) one-third of the total members (c) one-half of the total members (d) there is no such requirement

Q. 30. Which one of the following is not a permitted deduction from wages?

(a) Income tax (b) Recovery of advances (c) A deduction to make good a shortfall in the employer's profits (d) Subscription to a provident fund

Q. 31. A fine may not be imposed on an employee below the age of

(a) 14 years (b) 15 years (c) 16 years (d) 18 years

Q. 32. No fine may be recovered after the expiry of

(a) 30 days from the act or omission (b) 60 days from the act or omission (c) 90 days from the act or omission (d) one year

Q. 33. Fine money realised from employees must be

(a) retained by the employer as compensation (b) paid to the appropriate Government (c) recorded in a register and applied only to purposes beneficial to the employees (d) distributed among supervisors

Q. 34. An employee drawing Rs 25,000 per month is

(a) entitled to bonus computed on Rs 7,000 (b) entitled to bonus computed on Rs 21,000 (c) not eligible for statutory bonus, being above the eligibility ceiling (d) entitled to bonus computed on Rs 25,000

Q. 35. An employee drawing Rs 15,000 per month who worked the full accounting year is entitled to a minimum bonus computed on

(a) Rs 15,000 per month (b) Rs 7,000 per month, or the minimum wage for the employment if higher (c) Rs 21,000 per month (d) nothing, being above the ceiling

Q. 36. Minimum bonus in a year in which the employer suffers a loss is

(a) not payable (b) payable, since the statutory minimum does not depend on profit (c) payable at half rate (d) payable only with the Government's permission

Q. 37. Carrying forward an excess of allocable surplus over the maximum bonus payable is called

(a) set off (b) set on (c) allocation (d) apportionment

Q. 38. An employee is disqualified from receiving bonus if dismissed for

(a) habitual late attendance (b) negligence (c) theft, misappropriation or sabotage of the establishment's property (d) refusing overtime

Q. 39. An employer may not comply with the equal remuneration requirement by

(a) raising the wages of the lower-paid worker (b) reducing the wages of the higher-paid worker (c) revising the wage structure upward for both (d) equalising allowances

6.3 Level 3 - Recruitment Test standard

Q. 40. An employee earns Rs 50,000 per month, comprising basic Rs 16,000, dearness allowance Rs 4,000, house rent allowance Rs 20,000 and conveyance Rs 10,000. For the purposes of the Code on Wages, his wages are

(a) Rs 20,000 (b) Rs 25,000 (c) Rs 30,000 (d) Rs 50,000

Q. 41. Consider the following statements about the floor wage:

- 1 It is fixed by the Central Government taking into account minimum living standards.
- 2 Different floor wages may be fixed for different geographical areas.
- 3 A State whose existing minimum wage exceeds the floor wage must reduce it to the floor.

Which of the above statements are correct?

- (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 42. Match List-I with List-II and select the correct answer using the code below:

List-I (Provision)	List-II (Figure)
A. Minimum bonus	1. Rs 21,000 per month
B. Bonus eligibility ceiling	2. 20 per cent
C. Bonus calculation ceiling	3. 8.33 per cent
D. Maximum bonus	4. Rs 7,000 per month or the minimum wage, whichever is higher

- (a) A-3 B-1 C-4 D-2 (b) A-2 B-1 C-4 D-3 (c) A-3 B-4 C-1 D-2 (d) A-3 B-1 C-2 D-4

Q. 43. Consider the following statements:

- 1 For equal-pay purposes under the Code on Wages, house rent allowance and conveyance allowance are included in wages.
- 2 The Code frames the anti-discrimination provision in gender-neutral terms.
- 3 An employer may reduce the wages of any worker in order to comply with the equal remuneration requirement.

Which of the above statements are correct?

- (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 44. Which one of the following statements is not correct?

- (a) The eligibility ceiling for bonus is Rs 21,000 per month (b) Bonus for an employee drawing Rs 18,000 is computed on Rs 18,000 (c) An employee must have worked at least 30 working days in the accounting year (d) Infancy protection exempts a new establishment broadly for its first five years

Q. 45. Arrange the four wage statutes in chronological order:

- 1 Payment of Bonus Act
- 2 Minimum Wages Act
- 3 Equal Remuneration Act
- 4 Payment of Wages Act

- (a) 4, 2, 1, 3 (b) 2, 4, 1, 3 (c) 4, 1, 2, 3 (d) 4, 2, 3, 1

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	Four - Minimum Wages 1948, Payment of Wages 1936, Bonus 1965, Equal Remuneration 1976. The first of the 4-3-9-13 sequence
2	b	Payment of Wages Act, 1936 - Parliament regulated when wages were paid before regulating how much
3	c	2,700 calories per adult per day
4	b	Three consumption units per earner; the earnings of women, children and adolescents are disregarded
5	b	72 yards per family per year
6	b	20 per cent - the 1957 figure. The 25 per cent figure is the 1992 <i>Reptakos Brett</i> addition
7	c	Five years
8	b	Nine hours inclusive of rest interval; the week is 48 hours
9	b	Twice the ordinary rate
10	b	The Central Government . States fix the minimum wage at or above it - do not confuse the two
11	b	7th day ; 1,000 or more employees gives the 10th day
12	b	Two working days
13	b	50 per cent
14	c	75 per cent where co-operative society payments are included
15	b	3 per cent of the wages payable in that wage period
16	b	20 or more persons on any day during the accounting year
17	b	8.33 per cent - which is one twelfth , that is one month's wages
18	c	20 per cent
19	c	Eight months from the close of the accounting year, extendable up to two years
20	b	Article 39(d) - equal pay for equal work. It also implements ILO Convention 100 , which India has ratified

7.2 Level 2

Q	Ans	Explanation
21	c	The minimum wage must be paid regardless of capacity to pay - an employer who cannot pay it has no right to run the business. Fair wage is the one geared to capacity to pay
22	c	The living wage , the Article 43 goal, to be attained as the economy permits
23	c	25 per cent for children's education, medical requirements, recreation, and provision for old age and marriage
24	c	Minimum wages are fixed by the committee or notification method by the appropriate Government, not by tribunal adjudication

Q	Ans	Explanation
25	a	480 x 26 = Rs 12,480. Multiplying by 30 gives 14,400 and is the intended error - a month is 26 working days
26	b	Divide by 8
27	b	Abolished - coverage is now universal , across organised and unorganised employment. This is one of the Code's two big changes
28	b	Invalid. The floor wage is a national minimum below which no State may go. Diversity is preserved upward only
29	b	One-third of the total members must be women. Employers and employees are in equal number, independents up to one-third
30	c	There is no such deduction. Deductions are only those authorised by the statute, and making good the employer's profits is not among them
31	b	15 years
32	b	60 days from the day of the act or omission, and only after an opportunity to show cause
33	c	Recorded in a register and applied only to purposes beneficial to the employees . Fine money is not the employer's income
34	c	Not eligible - Rs 25,000 exceeds the Rs 21,000 eligibility ceiling . Anything paid is contractual or ex gratia
35	b	Rs 7,000, or the minimum wage if higher. He is eligible (below 21,000) but computation uses the calculation ceiling . This is the central distinction of the topic
36	b	Payable. Minimum bonus is a deferred wage , not a share of profit. Only the amount above 8.33 per cent depends on the allocable surplus
37	b	Set on. A shortfall carried forward is set off . Both for up to four succeeding years
38	c	Theft, misappropriation or sabotage - along with fraud, and riotous or violent behaviour on the premises. Negligence and lateness are not disqualifying grounds
39	b	He may not reduce anyone's wages to achieve equality. Equalisation must be upward

7.3 Level 3

Q	Ans	Explanation
40	b	Included = basic 16,000 + DA 4,000 = 20,000 . Excluded = HRA 20,000 + conveyance 10,000 = 30,000 . Half of total remuneration = 25,000 . Excluded exceeds half by 5,000 , which is added back. Wages = 20,000 + 5,000 = Rs 25,000 - exactly 50 per cent of total, as the shortcut from Chapter F2.1 predicts
41	a	1 and 2 only. Statement 3 is the reverse of the law - a State whose rate already exceeds the floor cannot reduce it. The floor is a minimum, not a ceiling
42	a	A-3 minimum 8.33 per cent; B-1 eligibility Rs 21,000; C-4 calculation Rs 7,000 or the minimum wage if higher; D-2 maximum 20 per cent
43	a	1 and 2 only. Statement 3 is wrong - wages may not be reduced to achieve compliance. Note why statement 1 exists: without including HRA and conveyance, an employer could equalise basic pay and discriminate through allowances
44	b	Bonus for an employee on Rs 18,000 is computed on the calculation ceiling of Rs 7,000 (or the minimum wage if higher), not on Rs 18,000. He is eligible, but eligibility and computation are different questions. The other three statements are correct
45	a	4, 2, 1, 3 - Payment of Wages 1936 , Minimum Wages 1948 , Bonus 1965 , Equal Remuneration 1976

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F2.5 - THE WAGES GROUP

FOUR ACTS, FOUR QUESTIONS how much = Minimum Wages 1948 · when and what deductions = Payment of Wages 1936 · share of surplus = Bonus 1965 · no gender discrimination = Equal Remuneration 1976 · all four = **CODE ON WAGES 2019**, the first Code, 4 Acts · **1936 is the oldest**

THREE TIERS minimum wage - payable regardless of capacity to pay · fair wage - geared to capacity to pay · living wage - the Art 43 GOAL, frugal comfort

1957 NORMS (15th Indian Labour Conference) 3 consumption units per earner (women's and children's earnings disregarded) · 2,700 calories per adult per day · 72 yards of cloth per family per year · rent per Government industrial housing · fuel, light and miscellaneous = 20% ·

REPTAKOS BRETT 1992 added a further 25% for children's education, medical, recreation, old age and marriage

FIXING committee method or **notification** method (not less than 2 months' notice) · review at intervals not exceeding 5 YEARS · rates may be time, piece, guaranteed time or overtime · components: basic + cost of living allowance, with or without cash value of concessions, or all-inclusive

HOURS normal day 9 HOURS inclusive of rest · week 48 hours · weekly paid rest day · **OVERTIME AT TWICE** the ordinary rate · 2026 Rules cap overtime at 144 hours per quarter · hourly = daily / 8 · monthly = daily x 26 (not 30 - 26 working days)

THE TWO BIG CODE CHANGES 1. **UNIVERSAL COVERAGE** - scheduled employments **ABOLISHED**, all employments covered · 2. **FLOOR WAGE** - fixed by the **CENTRAL GOVERNMENT** on minimum living standards, may vary by geographical area, and **NO STATE MAY GO BELOW IT** · a State already above the floor cannot reduce · Centre sets the FLOOR, States set the **MINIMUM WAGE at or above it** · uniform floor, local variation upward

ADVISORY BOARDS employers and employees in **EQUAL** number · independents not exceeding one-third · women not less than **ONE-THIRD** of total

PAYMENT OF WAGES - TIMING wage period not exceeding one month · under 1,000 employees → 7th DAY · 1,000 or more → 10th DAY · termination → 2 WORKING DAYS · payment on a working day · modes: coin, currency, cheque, bank credit, electronic · claims limitation under the Code 3 YEARS

DEDUCTIONS only those authorised · fines · absence · damage or loss where directly attributable to neglect or default · house accommodation · amenities and services · advances and over-payments · income tax · court order · provident fund · co-operative societies and approved insurance · welfare fund with written authorisation · trade union subscription with written authorisation · **CEILING 50%, RISING TO 75% WHERE CO-OPERATIVE SOCIETY PAYMENTS ARE INCLUDED** · excess is carried forward, not extinguished

FINES - FOUR LIMITS only for acts on an approved and displayed list · max 3% of wages in a wage period · not on anyone under 15 · not recoverable after 60 DAYS, and only after an opportunity to show cause · recorded in a register and applied only for the employees' benefit **BONUS NUMBERS 20 employees** to apply · Rs 21,000/month **ELIGIBILITY** ceiling · 30 working days to qualify · Rs 7,000/month or the minimum wage, whichever HIGHER, = **CALCULATION ceiling** · minimum 8.33% (= one twelfth = one month's wages), floor Rs 100 (Rs 60 if under 15) · maximum 20% · pay within 8 MONTHS (extendable to 2 years) · infancy protection ~5 years · set on and set off for 4 years · allocable surplus 67% for companies, 60% otherwise

THE BONUS DECISION SEQUENCE first is he eligible (compare Rs 21,000) · then compute on the LOWER of actual wage and the calculation ceiling · then 8.33% floor, 20% cap ·

MINIMUM BONUS IS PAYABLE EVEN IN A LOSS YEAR - it is a deferred wage, not a profit share **DISQUALIFICATION FROM BONUS** dismissal for fraud · riotous or violent behaviour on the premises · theft, misappropriation or sabotage

EQUAL REMUNERATION implements **Art 39(d)** and **ILO C100 (ratified)** · same work or **work of a similar nature** - same **skill, effort and responsibility**, differences **not of practical importance** · no discrimination in **recruitment** or conditions of service · **WAGES MAY NOT BE REDUCED to achieve equality** - equalisation is **UPWARD** · Code makes it **gender-neutral** · for equal-pay purposes **HRA and conveyance ARE included in wages**
CODE MACHINERY universal coverage · uniform **wages definition with the 50% rule** · floor wage · **Inspector-cum-Facilitator** · **3-year** limitation · **single register** replacing four

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F2.5 - THE WAGES NUMBERS

CODE ON WAGES = 4 ACTS · 1936 oldest · **minimum / fair / living** - living is the **Art 43 goal**
1957: 3 units · 2,700 cal · 72 yards · 20% fuel · **1992 Reptakos: +25%**
9-HOUR DAY · **48-HOUR WEEK** · **OT AT TWICE** · **OT CAP 144/QUARTER**
HOURLY = DAILY / 8 · **MONTHLY = DAILY x 26** (never 30)
FLOOR WAGE = CENTRE · **MINIMUM WAGE = STATE, AT OR ABOVE THE FLOOR** · **scheduled employments ABOLISHED**
BOARDS equal employers/employees · independents **1/3 max** · **women 1/3 min**
PAY BY 7th (<1,000) · **10th (1,000+)** · **2 WORKING DAYS on termination**
DEDUCTIONS 50% · **75% WITH CO-OPERATIVE** · excess carried forward
FINES 3% · **age 15** · **60 days** · **approved displayed list** · **spent for employees**
BONUS 20 employees · **Rs 21,000 ELIGIBILITY** · **Rs 7,000 CALCULATION** · **30 days** · **8.33% to 20%** · **8 months** · **5 years infancy** · **4 years set on/off** · **67/60% allocable**
THE BONUS TRAP an employee on **Rs 18,000 IS eligible** but bonus is computed on **Rs 7,000**
MINIMUM BONUS IS PAYABLE IN A LOSS YEAR - deferred wage, not profit share
EQUAL PAY Art 39(d) · **C100 ratified** · **never reduce wages to equalise** · **HRA and conveyance count for equal pay**
EVERYTHING HERE IS COMPUTED ON "WAGES" - **SO THE 50% RULE FROM F2.1 APPLIES THROUGHOUT**

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F2.6 - The Factories Act, 1948 and the OSH Code: health, safety and welfare provisions, the hours and leave chapter, the **Third Schedule notifiable diseases** the 2023 paper asked about, and the factory thresholds that the OSH Code doubled from 10 and 20 to 20 and 40.